Monetary Policy

Lutz Hendricks

2026-08-03

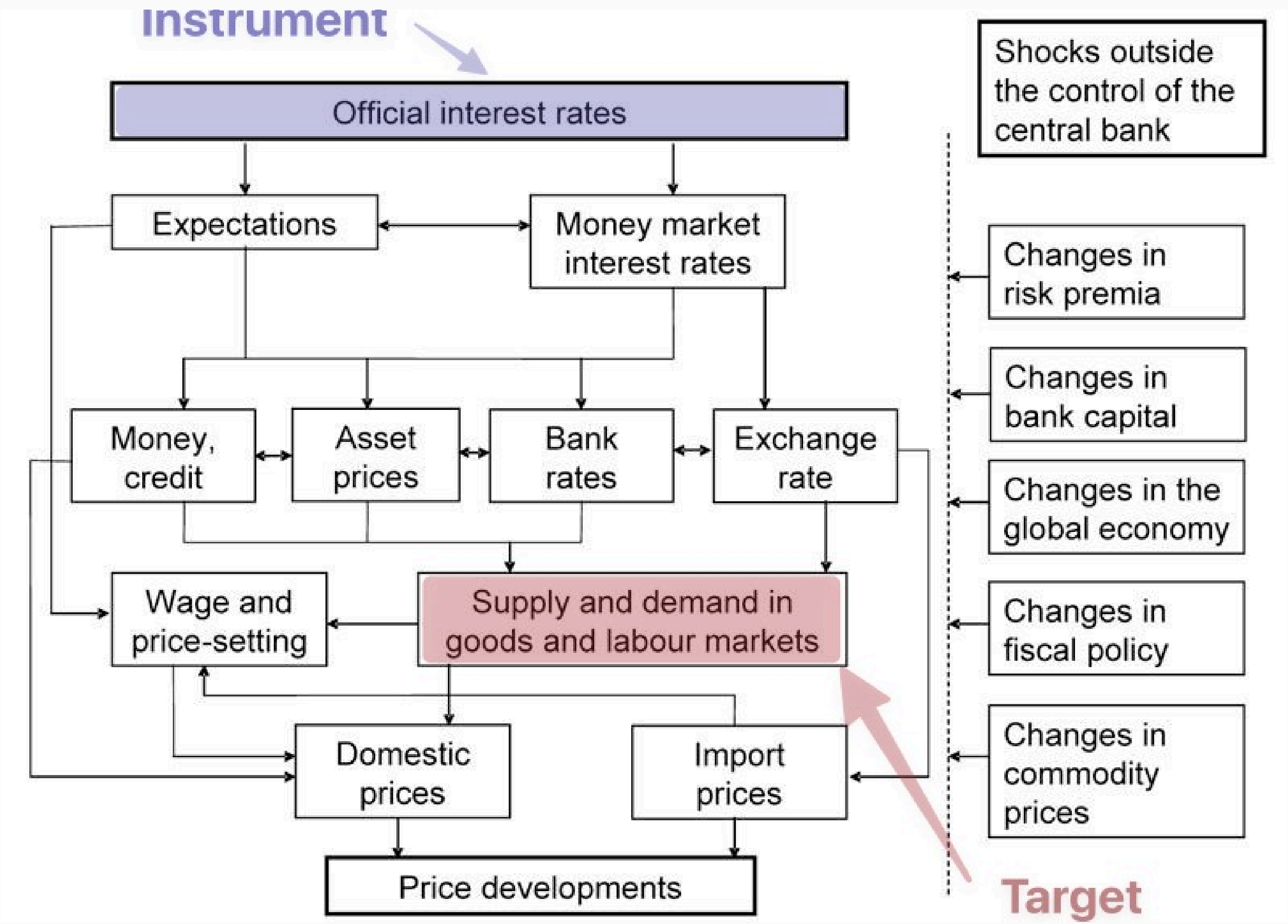
UNC Chapel Hill

Introduction

How does the Fed operate in reality?

It complicated…

1 Traditional Monetary Policy



Monetary transmission illustrated

Source: ECB, Transmission mechanism of monetary policy

1.1 The Fed Funds Rate

Traditionally, the Fed's main policy tool is the **Federal Funds Rate** (FFR).

- Banks borrow from each other over night
  - moving excess liquidity around
  - the FFR is the interest rate charged for this borrowing
- The Fed controls the FFR by adjusting the liquidity available to banks
  - e.g., by buying and selling bonds in exchange for reserves held with the Fed

> Key point:
>
> The Fed directly only controls a very short term (overnight) interest rate.

Aggregate demand depends on **long-term** interest rates

- mortgages and consumer loans
- bank loans to firms

The Fed has **no direct control** over these rates.

Monetary transmission means:

- How do Fed actions (e.g., changes in the FFR) translate into changes in aggregate demand?

There are several channels.

Higher FFR works through these channels (and more):

1. **Interest rates** rise

   Higher cost of capital $\Longrightarrow$ lower **investment**

2. **Asset prices** fall

   Wealth effects reduce **consumption**

3. **Inflation expectations** fall

   Real interest rates rise more

1.4 Problems

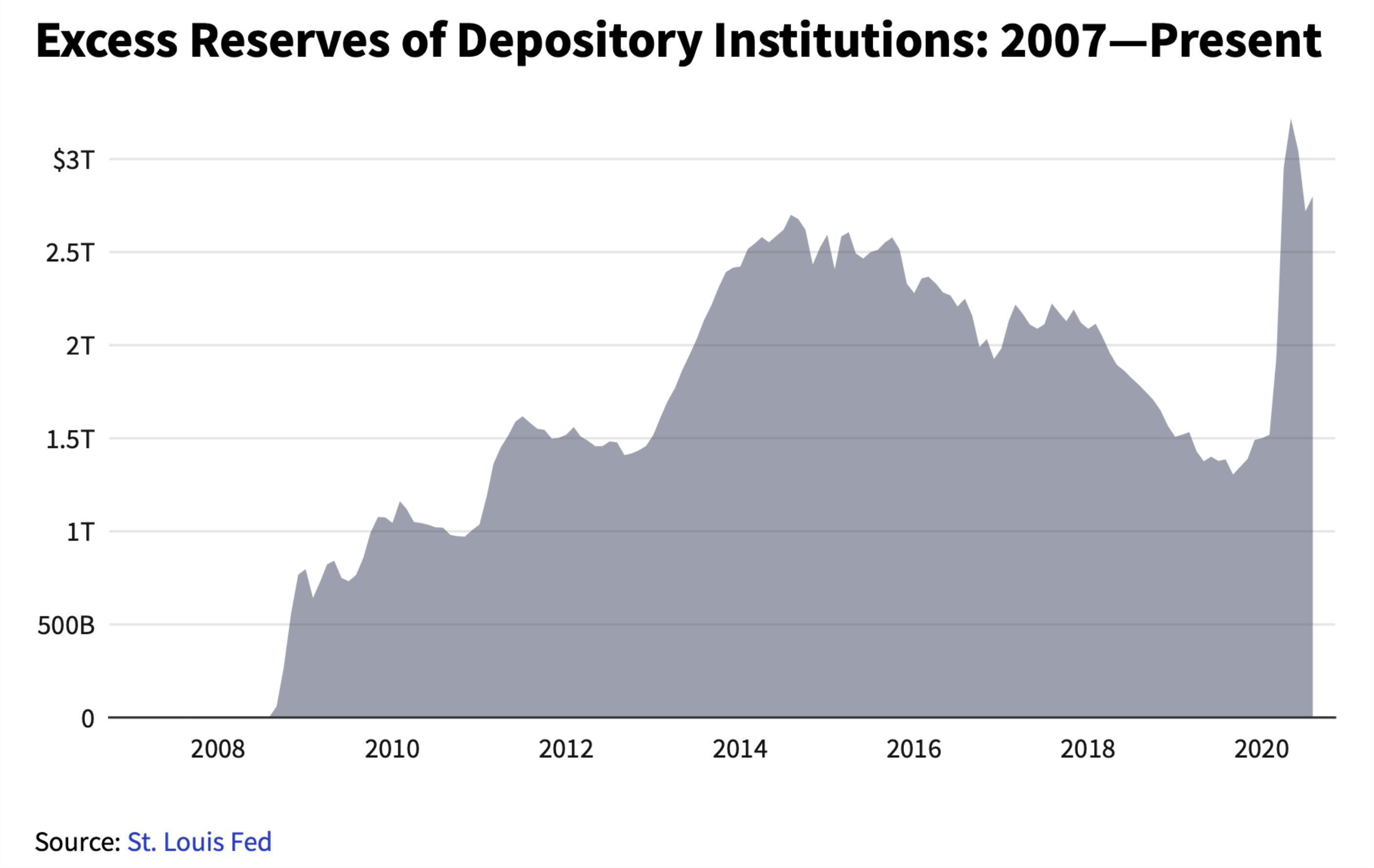
Transmission is quite **indirect**

- The Fed directly controls only the FFR
- Aggregate demand depends on longer interest rates
- Long rates may not move as expected

This is the key **difficulty of monetary policy**:

- long and variable lags
- it typically takes about **a year** for the real effects of a monetary stimulus to take full effect

1.5 Example: The Great Financial Crisis



Banks soaked up all of the liquidity generated by the Fed as excess reserves.

Essentially **no credit creation**.

1.6 Digression: How do Banks Work?

The main function of commercial banks:

- take in deposits
- give out loans (to finance investment and consumption)

Profit: the spread between loan rates and deposit rates.

Fed reserves:

- banks must hold a certain fraction of their deposits in low interest Fed accounts (reserve requirement - abolished in 2020)
- when banks fear uncertainty, they hold **excess reserves** instead of giving out loans

Excess reserves indicate that banks do not lend as much.

2 Unconventional Monetary Policy

2.1 Unconventional Monetary Policy

What we described so far is "conventional" monetary policy.

- what the Fed has been doing for decades

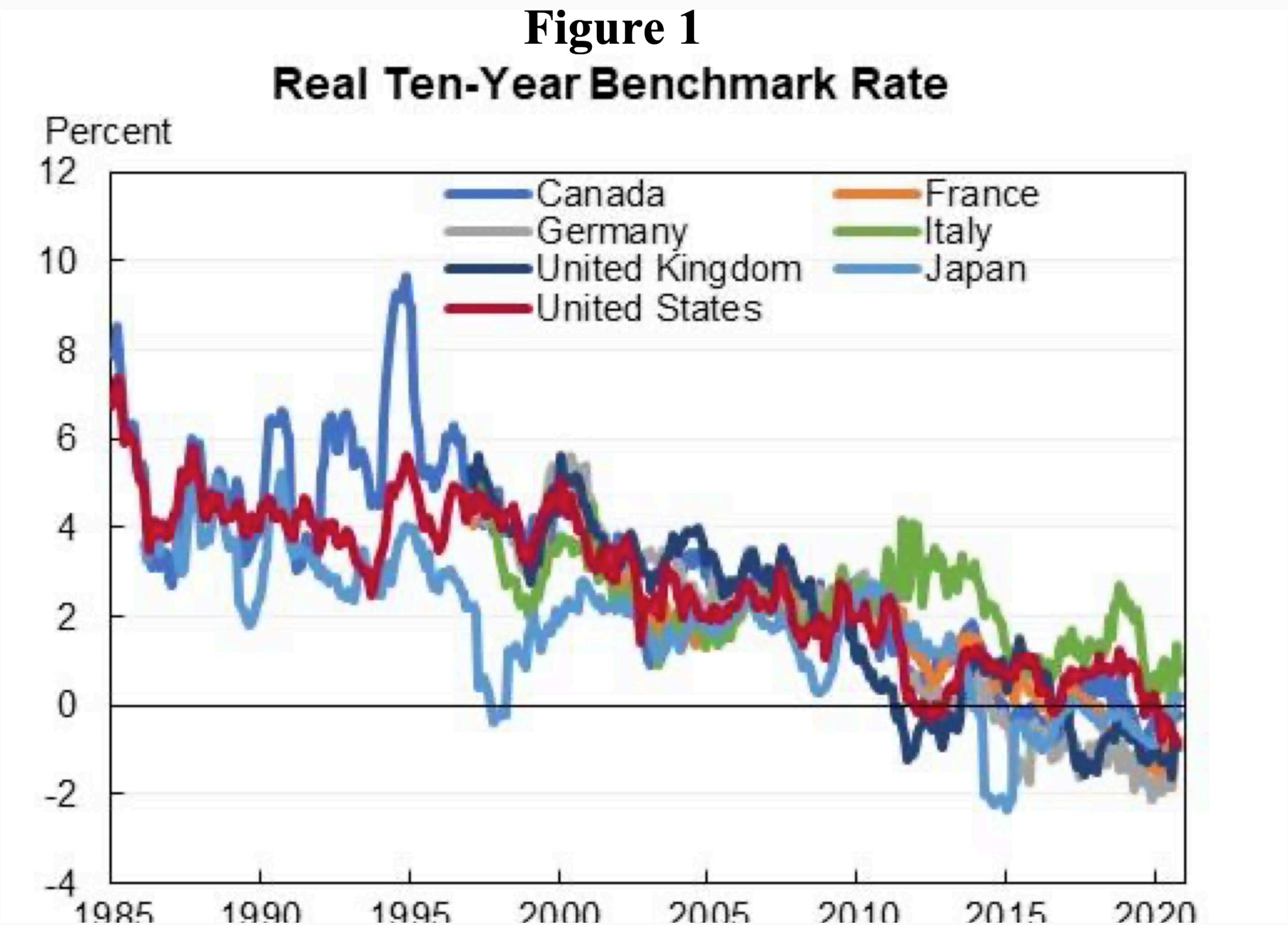
Recently, conventional monetary policy has stopped working.

- even zero interest rates are no longer low enough

Since the Great Financial Crisis of 2009, the Fed has used "unconventional" tools

- which are, by now, pretty conventional

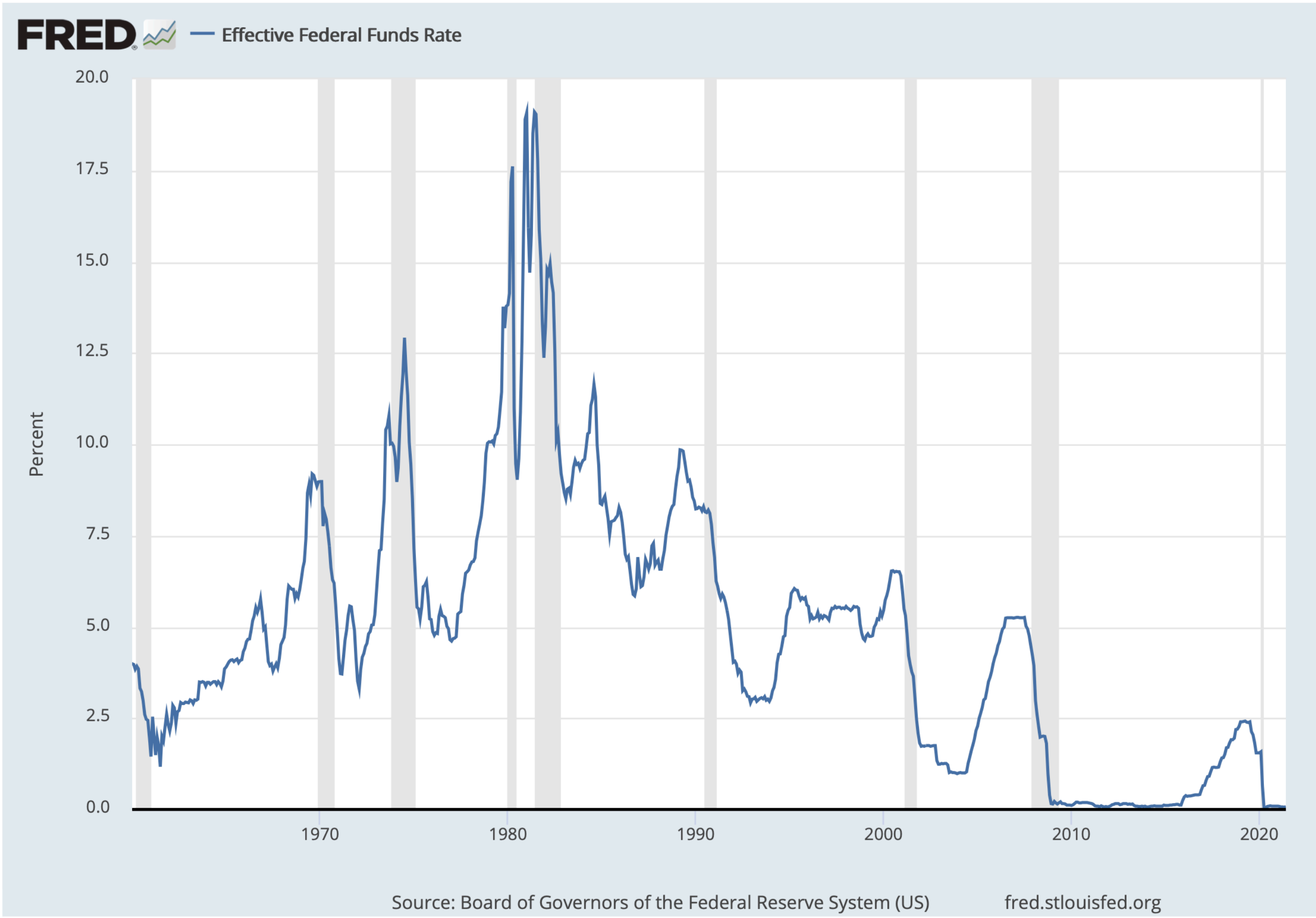
2.2 Falling Interest Rates



Real interest rates have been falling (not clear why).

Source: Furman & Summers, 2020

2.3 The Zero-Lower Bound

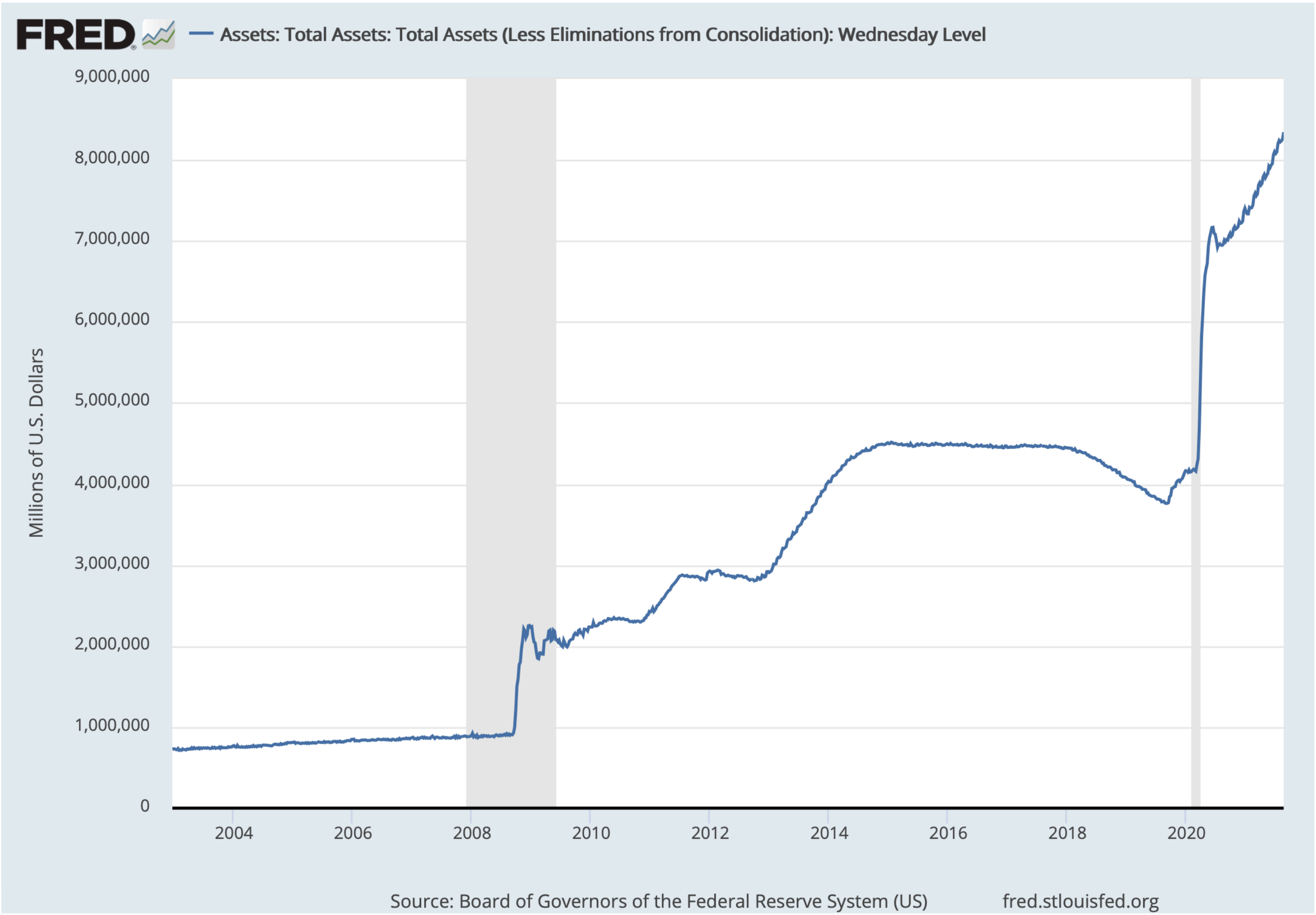


The FFR has trended down.

In recessions, it hits the zero lower bound – now what?

Source: FRED

2.4 Quantitative Easing



The Fed directly changes long-term interest rate by buying **long-term bonds**.

The Fed's balance sheet has expanded dramatically.

Source: FRED

3 Summary & Review

1. Does the Fed control the interest rate?
2. How can the Fed use expectations to stimulate the economy?
3. The main challenge for the Fed: long and variable lags.

3.1 Reading

- Investopedia article on the Federal Reserve.
- ECB article on the "Transmission Mechanism of Monetary Policy"
- Johnson, Manuel (2002). "Federal Reserve System." The Library of Economics and Liberty: a very brief overview of how the Fed operates.
- Monetary Policy Basics: a brief summary of fed operations.